

Career Essentials:

Evaluating a Compensation Package



Career Services

Learning Objectives

- Better understand how to evaluate a compensation package

Agenda

- What to consider when evaluating an offer
 - Elements of compensation
 - Tools to support the evaluation process
 - Tips for negotiation and offer acceptance
 - Resources available

Consideration #1: Know yourself

- Your priorities – monetary and non-monetary
 - Industry, function, products, and services
 - Level of salary and overall compensation
 - Day-to-day work
 - Lifestyle / family
 - Location, commute, and travel
 - Company – size, culture, and growth trajectory
- Current and future career objectives
 - What's your next career step?
 - Where do you want to be in five years?

Consideration #2: Understand the situation

- Points of leverage with a prospective employer – what is your value to the organization?
- Due diligence on this prospective employer
- Industry norms
- Internal equity norms
- Hot button compensation issues

Elements of compensation

- Salary
- Incentives
 - Short term
 - Long term
- Benefits
- Post-Employment Terms

Salary

- Base salary
- Reviews

Bonus

- Short-Term
 - Signing bonus
 - Individual Performance bonus
 - Company Performance bonus
- Long-Term
 - Stock awards
 - Options

Benefits

- Health
- Retirement
- Insurance coverage
- Vacation
- Housing/Relocation
- Other

Post-employment terms

- Termination and severance
- Restrictions on future employment

Tools to support the evaluation process

- Salary comparisons
 - Employment Reports
 - Industry Reports
 - Salary Surveys and Calculators
 - Career Services Website
 - Offers and Negotiations worksheet

Tips for the offer and negotiation

- Acknowledge
- Evaluate
 - Role and responsibility
 - Compensation
- Negotiate

Before you say “yes”...

- Ensure the following items are clearly delineated:
 - Duties and responsibilities
 - Reporting relationships
 - Salary
 - Title
 - Other compensation
 - Termination and severance arrangements
 - Restrictions on future employment

Next Steps

- Consider your ideal job in advance
- Research compensation levels in your target industry/job
- Meet with a career coach
- Celebrate!

Resources

Books (Fisher Career Resource Center)

- *The Complete Guide on How to Negotiate* – Tali Raphaely
- *Secrets of Power Salary Negotiating* – Roger Dawson
- *How to Become a Better Negotiator* – Richard A. Luecke and James G. Patterson

CareerCast (<https://www.chicagobooth.edu/careercast>)

- *Getting More in Any Negotiation* – Stuart Diamond
- *Winning Through Negotiation* – Tali Raphaely

Questions?

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